ORGANIZING

SECOND FUNCTION OF MANAGEMENT

Introduction -1



INTRODUCTION

- **McDonald's Corporation**: world's largest chain of *hamburger fast food restaurants*.
- Serves around 68 million customers daily in *119 countries.*
- Headquartered in the United States,
- Began operation 1940 as a barbecue restaurant operated by Richard and Maurice McDonald;
- In 1948 they reorganized their business as a hamburger stand using production line principles. Businessman Ray Kroc joined the company as a franchise agent in 1955. He subsequently purchased the chain from the McDonald brothers and oversaw its worldwide growth.
- A McDonald's restaurant is operated by either a franchisee, an affiliate, or the corporation itself.

THE ORGANIZING PROCESS

- Most organizations start out in one form and then evolve into other forms as they grow, shrink, or otherwise change.

- **The organizing process involves shaping the organization as it grows, shrinks, or changes.**

Organizing

- The process of ***breaking down*** the core business of a company into smaller units of activities and resources, and then ***grouping*** these activities and resources in a ***logical*** and ***appropriate*** fashion.

Basic Concepts of Organizing

There are five basic concepts of organizing:

1. Designing jobs,
2. Grouping jobs,
3. Dealing with authority and responsibility,
4. Establishing the span of management
5. Managing line and staff positions.

Designing Jobs

- **Job design** is the process of determining what procedures and operations are to be performed by the employee in each position.

- For example, a new employee at an assembly plant doesn't simply sit down and start working. The manager shows him how to do the job. Moreover, this manager is not making the job up as she goes along. Other operating managers and managers from the human resource department at some time carefully decided how it should be performed, basing their decisions on method studies and what the best design for the job was

- The basis of job design is **job specialization,** defining the tasks that set one job apart from others

JOB SPECIALIZATION

- Frederick W. Taylor, the chief proponent of scientific management, advocated ***high levels*** of ***specialization*** and ***standardization*** as ways to increase ***efficiency***.
- Advantages

  - employees become experts, more efficient, more productive

  - greater control for managers

Any more advantages?

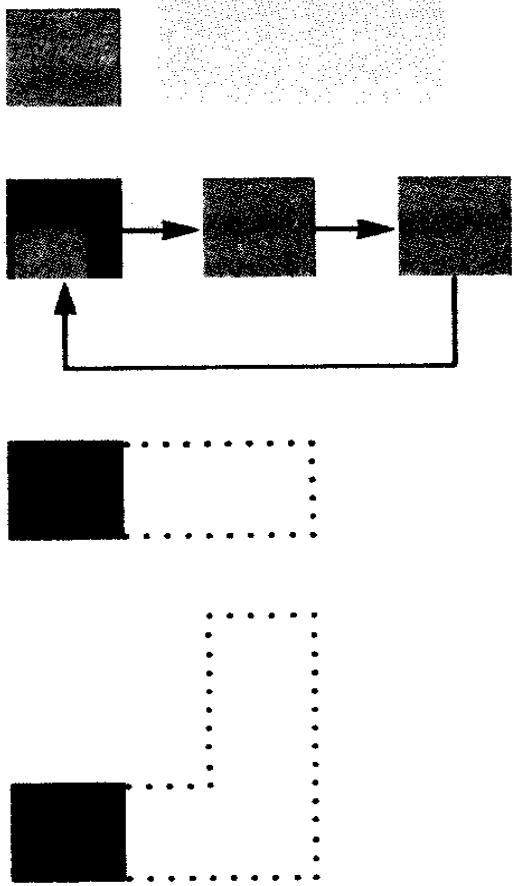
Overspecialization

- This can lead to boredom and dissatisfaction
- Possibility of disrupting production in the absence of specialised workers.
- Difficulty in getting new jobs in different industries
- **Any more disadvantages?**

Managers use such alternatives as:

- job rotation,
- job enlargement, and
- job enrichment.

Alternatives to Addressing Challenges Posed by Overspecialization



Job Specialization: Narrowly defined and standardized job

Job Rotation: Employee rotates across several narrowly defined and standardized jobs

Job Enlargement: Job is changed to include more activities

Job Enrichment: Job is changed to include more activities *and* more discretion as to how to do them

Grouping Jobs

- After jobs have been designed, the next part of the organizing process is grouping them into logical sets.
- This step is important because properly, grouped jobs make it easier to ***coordinate*** and ***integrate*** activities.
- The process of grouping jobs is called ***departmentalization***.

Bases of Departmentalization

- The most common groupings are
- by function,
- by product, and
- by location.

DEPARTMENTALIZATION BY FUNCTION

- Grouping together employees who are involved in the same or very similar functions.
- Key advantages:
  - each department is staffed by experts in that particular function
  - managers in charge of each function can easily coordinate and control the activities within the department
  - and areas of responsibility are clearly defined.

DEPARTMENTALIZATION BY PRODUCT

- Grouping together all the activities associated with individual products or closely related product groups.

Advantages:

- All activities associated with unique products are kept together.
- Decision making is faster, because managers responsible for individual products are closer to those products.
- It is easier to monitor the performance of individual product groups under this arrangement.

Disadvantages of Product Departmentalization

- Administrative costs are higher, because each department has its own marketing research team, its own financial analysis team, and so forth.
- Conflict or resentment occasionally arises between departments, as each thinks the other is getting more than its fair share of attention or resources.

DEPARTMENTALIZATION BY LOCATION

- Jobs that are in the same or nearby locations are grouped together in a single department.
  - E.g. North America-production facilities, distribution systems, financial considerations, marketing activities, and human resource management activities-are grouped together in one department. Likewise, European operations are grouped together, as are those that relate to Southeast Asian operations.

MERITS AND DEMERITS OF DEPARTMENTALIZATION BY LOCATION

- Merits: Gives managers the basic advantage of being close to the location of_their decision making responsibilities.

  Effective operations might be realised.

- Demerit: Results in a duplication of staff.

For instance, the company would need a marketing manager in North America, one in Europe, and one in Southeast Asia. Nonetheless, this approach is becoming more widely used, especially by firms that decide to go multinational.

OTHER CONSIDERATIONS IN DEPARTMENTALIZATION

- Departmentalisation by customer.
- The company groups together activities associated with individual customers or customer groups.
- E.g. A bank, might have departments for consumer loans, business loans, and agricultural loans.

AUTHORITY AND RESPONSIBILITY

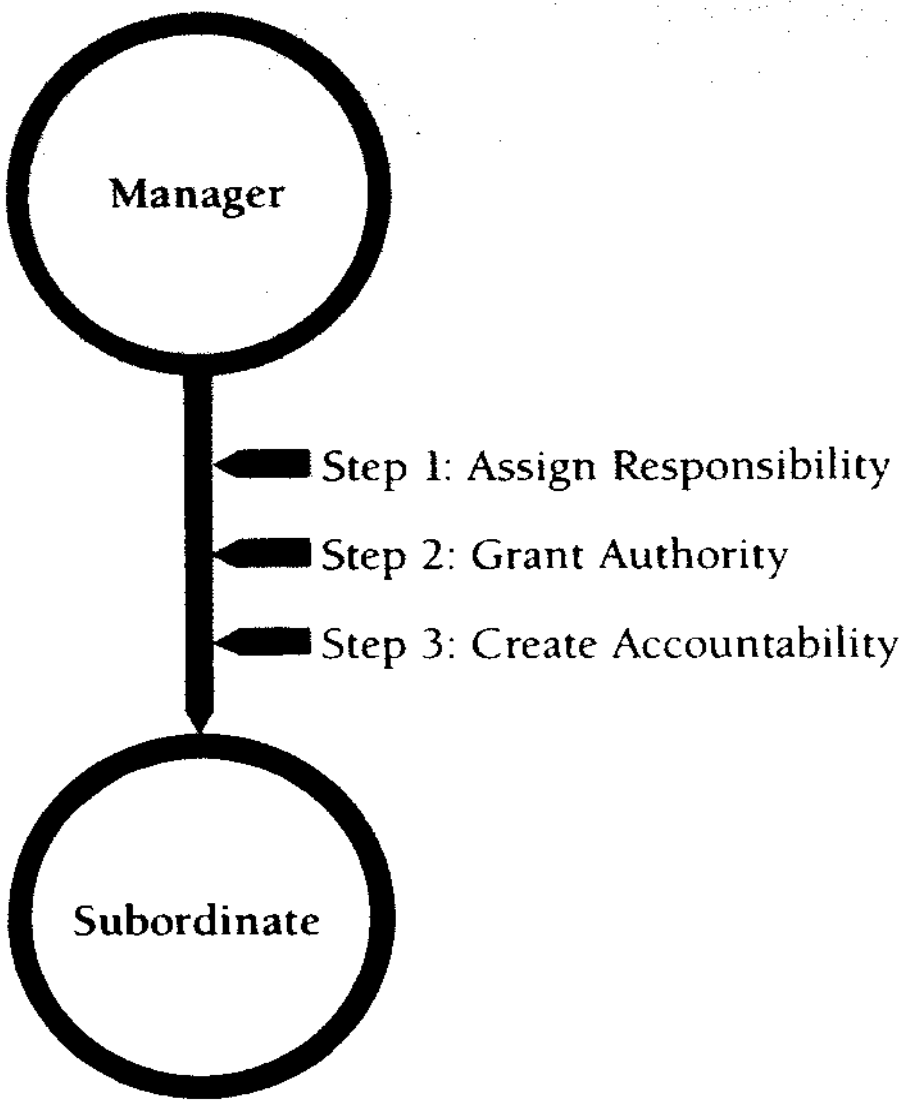
- Determining how ***authority*** and ***responsibility*** will be managed is important in the organizing process.
- At the total organizational level, it relates to decentralization.
- At the level of individual manager and his subordinate, this is the delegation process.

DELEGATION

- **Delegation** is the process through which the manager assigns a portion of his task to subordinates.

PROCESS

- First, the manager assigns **responsibility.**
- Second, the manager must also grant the **authority** necessary to carry out the task.
- Finally, the manager needs to create **accountability.**


Manager
Step 1: Assign Responsibility
Step 2: Grant Authority
Step 3: Create Accountability
Subordinate

What are the barriers to delegation?

BARRIERS TO DELEGATION

- The manager:
  - might be too disorganized to delegate systematically.
  - may be afraid that his subordinate will do such a good job that he will look bad in comparison.
  - may be afraid that the subordinate is incapable of doing the job properly.
- the subordinate may be unwilling or unable to accept the job anyway.

DECENTRALIZATION

Decentralization-the result of maximum delegation throughout the organization.

- Power and control are systematically delegated to lower levels in the organization.
- Under conditions of **centralization-** power and control are systematically kept at the top of the organization

SPAN OF MANAGEMENT

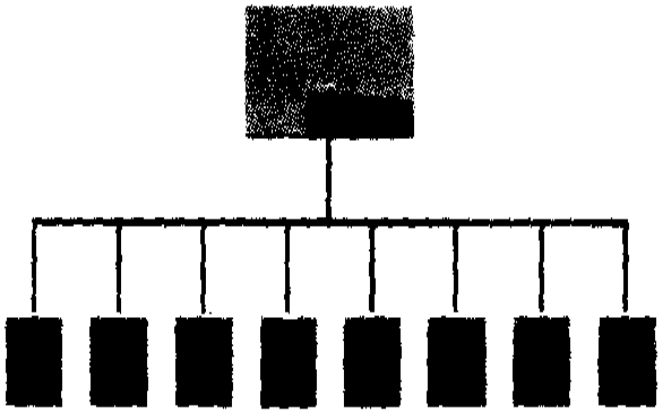
The number of subordinates who directly report to a given manager

- It is a concept that is critical to group and overall organisational effectiveness:
  - speed of communication flow,
  - employee motivation,
  - reporting relationships, and
  - administrative overhead.

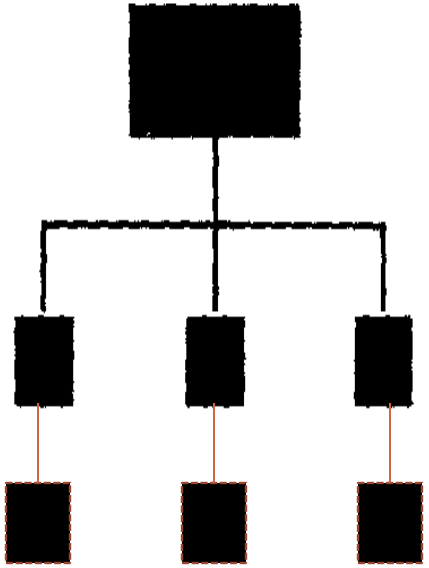
WIDE VERSUS NARROW SPANS

- **A manager with:**
  - a large number of subordinates - wide span of management
  - A small number of subordinates- narrow span of management
- Span of management affects the "height" of organizational structures
- A ***wide span*** of management results in an organization that has relatively few levels of management-a **flat organization**.
- A ***narrow span*** of management adds more layers of management and therefore leads to a ***tall organization***.

WIDE Vs NARROW SPANS



Wide Span of Management



Narrow Span of Management

FLAT ORGANIZATIONS

- **Tall Vs. Flat LAT ORGANIZATIONS**

- In general, flat organizations tend to be characterized by

- greater communication between upper- and lower-level management,

- an increased capacity to respond to the environment,

- and lower total managerial costs than tall organizations.

LINES AND STAFF POSITIONS

- **Line positions** are traditionally defined as those in the direct chain of command with specific responsibility for accomplishing the goals of the organization.
- **Staff positions** are positions outside the direct chain of command that are primarily advisory or supportive in nature.

LINE AND STAFF POSITIONS

